

**THE MAHARASHTRA REAL ESTATE REGULATORY AUTHORITY
MUMBAI.**

COMPLAINT NO: CC006000000100203

Sunil Vishwas Bhalekar

... Complainant.

Versus

Nirmal Lifestyle (Kalyan) Pvt. Ltd.
(Lifestyle City Kalyan-Glory B)

... Respondents.

MahaRERA Regn: P51700003537.

Coram: Shri B.D. Kapadnis,
Member II.

Appearance:

Complainant: Ms. Shaila Bhalekar.

Respondents: Adv. Mr. Tushar Kadam.

Final Order

05th March 2020.

The complainant booked flat no. 1001, B Wing in respondents' registered project 'Lifestyle City Kalyan-Glory B' situated at Vadavli Kalyan, District Thane. The respondents have failed to hand over its possession on or before June 2016 with grace period of six months as agreed. Therefore, he claims interest on his investment from 01.01.2017 till getting the possession of the flat under Section 18 of RERA as he wants to continue in the project.

2. The respondents plead not guilty and have filed the reply. The respondents contend that the complaint is not maintainable because they have revised the date of completion while registering the project with MahaRERA as 31st July 2019 and the said date has not been crossed. They contend that the project is delayed because in PIL No. 182 of 2009, the Hon'ble Bombay High Court directed the Kalyan-Dombivali Municipal



Corporation on 13th April 2015, not to sanction any proposal for construction of building until further orders. Thereafter, on 25.04.2016 the Hon'ble High Court modified the said order and allowed the corporation to process and decide the proposals for construction of buildings. The Hon'ble High Court on 07.10.2016 referred the PIL to National Green Tribunal. They further contend that there was ban on sand mining and therefore, the construction was delayed. Hence, they request to dismiss the complaint by relying upon the ruling of this Authority given in Tilkesh Soni-v/s-Man Global Ltd. dated 04.02.2019 holding that the builder is liable to pay interest on delay, if the promoter fails to hand over the possession of the premises as per the proposed date of completion mentioned in the application for registration of project.

3. Following points arise for determination and my findings recorded thereon are as under:

POINTS

FINDINGS

- | | |
|---|--------------|
| 1. Whether the respondents have failed to hand over the possession of the flat on the agreed date? | Affirmative. |
| 2. Whether the respondents are liable to give interest on his investment from 01.07.2017 till getting the possession of the flat? | Affirmative. |

REASONS

4. The agreement for sale shows that the respondents agreed to hand over the possession of the flat by June 2016 with grace period of six months. It means that the respondents were to hand over the possession of the flat on or before 31.12.2016. The complainants booked the flat in March, 2011 and the respondents have referred to the orders passed by the Hon'ble



High Court on 13th April 2015 and thereafter. They have no explanation as to why the necessary approvals and permission have not been taken when the project was launched in the year 2010 itself. They contend that those orders caused the delay which is not acceptable. In this context it is necessary to note that the Bombay High Court in Neelkamal Realtors Suburban Pvt. Ltd.-v/s-Union of India 2018(1) AIR BomR 598 has referred to this issue in the context of Rule 6(a) of Maharashtra Rules 2017 which permits the exclusion of time consumed due to orders of courts or orders of law tribunal, Competent Authority or due to such mitigating circumstance. However, the Hon'ble High Court has not approved this rule and directed the State Government to re-look at it. This is one aspect and other aspect is, even if it is taken for granted that the project is delayed because of the said reasons, as per Section 8 (b) of Maharashtra Ownership Flats Act the period beyond six months is not permissible under the head. Therefore, I find that the respondents have failed to hand over the possession of the flat on the agreed date.

5. Section 18 of RERA confers right on the allottee to continue in the project and claim interest on his amount on promoter's failure to hand over the possession of the flat on the agreed date of possession specified in the agreement. The complainant has exercised this right and therefore, he is entitled to get prescribed interest on his investment till getting the possession of his booked flat from the date of default till getting possession. The respondents have relied upon the ruling given in Tilkesh Soni's case. In this case the Authority held that the promoter shall be held liable to pay interest on delay if the promoter fails to handover the possession of the premises as per the date mentioned (revised date) in the application for registration of project filed before MahaRERA. In this context, I find that the Hon'ble High Court has already dealt with this issue in Neelkamal Realtors Suburban Pvt. Ltd. referred to above. In Para 119 of the



judgement, High Court has clearly mentioned that the delay in handing over the possession would be counted from the date mentioned in the agreement for sale. RERA does not contemplate rewriting of contract between the flat purchaser and promoter. Under Section 4, the promoter is given facility to revise the date of completion of project and declare it. Thus, the revised date mentioned by the respondents for completion mentioned in the application for registration cannot be taken into consideration. Moreover, In Neelkamal Realtors' case the Hon'ble High Court in the context of delay caused due to court order with reference to section 6 of RERA observes,

"Alternatively submitted that possibly the authority may consider cases where the project is held-up due to court orders or injunction and if such situation arises, time consumed in the litigation be excluded from consideration of period of one year under Section 6. We find that such an interpretation will frustrate the object and purpose of RERA. It is possible that a tendency would develop to ask for extension for indefinite period by creating some or the other ground. We are of the view that the framers of the RERA did not expect this situation to arise."

Therefore, I do not follow the view taken by the Authority in the case of Tillesh Soni relied upon by the respondents.

6. The complainants have filed the payment format marked Exh. 'A' showing that they paid consideration of Rs. 26,47,066/- before the agreed date of possession. The respondents have admitted the receipt thereof. Therefore, they have to pay simple interest at prescribed rate on Rs. 26,47,066/- from 01.01.2017 till handing over the actual possession of flat. The prescribed rate of interest is 2% above the SBI's highest MCLR. It is currently 8.15%. The complainants are entitled to get Rs. 20,000/- toward the cost of the complaint. Hence, the order.



ORDER

The respondents shall pay complainant the simple interest at the rate of 10.15% per annum on Rs.26,47,066/- from 01.01.2017 till handing over the actual possession of flat with occupation certificate .

The respondents shall pay the complainant Rs. 20,000/- towards the cost of the complaint.

The parties are allowed to set off/adjust their current claims against each other and balance shall be paid to whosoever it is due.

Mumbai.
Date: 05.03.2020.


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(B. D. Kapadnis)
Member II,
MahaRERA, Mumbai.